



United States
Attorney's Office
Western District of Virginia



Pharmacy Owner Sentenced to Imprisonment for Health Care Fraud

Tuesday, January 7, 2025

For Immediate Release

U.S. Attorney's Office, Western District of Virginia

Randy Yost Caused \$1.3 Million Loss to U.S. Government Through Fraud

ABINGDON, Va. – The owner of Randy's Gateway Drug in Cedar Bluff, Virginia, was sentenced recently to 18 months in prison on federal healthcare fraud charges after pleading guilty in May for conduct that caused \$1.3 million in losses to the federal government.

Randy Yost, 72, of Cedar Bluff, Virginia, pled guilty in May 2024 to one count of healthcare fraud, one count of conspiracy to commit healthcare fraud, and one count of distributing oxycodone.

According to court documents, Yost owned Randy's Gateway Drug, a participating provider of Medicare, Medicaid, and Tricare. Between April 2016 and June 2023, Yost, and others, dispensed cheaper generic medications for Schedule II drugs such as Oxycontin to customers, yet billed the government healthcare benefits programs for the more expensive brand name medications.

In addition, Yost billed the government healthcare benefits programs and other insurance companies for prescription medications that were not dispensed to patients.

Yost also billed for prescription medications that were dispensed to patients and then returned to the pharmacy by those same patients, but the charge to the government healthcare benefits programs was not reversed. Instead, the returned medications were dispensed again and billed a second time.

In February 2023 and February 2024, a government analysis comparing medications ordered by Randy's Gateway Drug's billed to government healthcare benefits programs was completed. That analysis showed an adjusted loss to the government of \$1,309,515. As a result, Yost was ordered to pay restitution in the amounts of \$1,035,279.44, to Medicare, \$271,274.03 to Virginia Medicaid, and \$2,961.75 to TriCare.

Acting United States Attorney Zachary T. Lee, Special Agent in Charge of the DEA's Washington Division Jarod Forget, and Virginia Attorney General Jason Miyares made the announcement..

The Drug Enforcement Administration, U.S. Department of Health and Human Services- Office of Inspector General, Virginia Office of the Attorney General- Medicaid Fraud Control Unit and the Department of Defense Criminal Investigative Service- Office of Inspector General investigated the case.

Special Assistant United States Attorney and Virginia Assistant Attorney General Janine Myatt and Assistant U.S. Attorney Danielle Stone prosecuted the case.

Updated January 7, 2025

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HEALTHCARE FRAUD

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